5) Cash reserve ratio:-

Credit creation depends upon the cash reserve ratio of the banks. So in the process of credit creation, the cash reserve ratio plays a vital role. The more the cash reserve ratio, the less the advance of loans; on the other hand the less the cash reserve ratio, the more the creation of credit.

6) Interaction of commercial banks:-

No single bank can create credit alone; it is rather the combined process of all banks. Because every bank retains a specific portion of deposit, and advances the loan. So the cooperation of all banks is required in the credit creation process.

7) Quantity of new deposits:-

The more the quantity of new deposits in the commercial banks, the more the capability of the banks to advance the loans. In this way, there will be more creation of money. But when the banks have less deposit, they will advance loans and create credit in a limited quantity.

8) Economic conditions:-

Ups and downs in the economic conditions of a country affect investment, growth and employment, so during recession or depression new investment comes to halt. So the demand for loans and the creation of credit slows down. Where as during economic prosperity and expansion there is rise in investment and employment. So there is more demand for loans and the creation of credit speeds up.

FUNCTIONS OF THE CENTRAL BANK

1) Note issuing agency:-

The primary function of the central bank is to issue currency notes in the country. In the absence of central bank every commercial bank could issue these notes; thus there used to be inflation in the economy which while no bank was prepared to accept the responsibility in this respect. So first of all the central bank was established in England, which was responsible for the issuance of currency notes and control of money supply in the economy. Nowadays, central bank in all the countries of the world is responsible for the issuance of currency notes. It also strengthens and manages currency system. There are two rules for the issuance of currency in the economy.

i) Fixed Fiduciary System:-

According to this rule, the limit to issue the notes is prescribed. This limit is set by the parliament of the legislative assembly. The central bank can print the currency notes against any reserve, but when they reach this limit, they have to keep gold, silver or foreign exchange against the excess amount as reserve. For example, if this limit is 5 millions pounds in a country, the notes up to 5 billion can be printed without any reserve. But if they have to print notes worth 10 million, gold, silver or foreign exchange are kept as reserve. This system is also prevalent in England, Norway and Japan. According to this system, the central bank cannot print surplus notes at its own, it has to seek the approval of the parliament, if it wants to change the limit. So there is no the risk of inflation but the drawback of this system is that it becomes inflexible, because the supply of money cannot be increased easily if the need arises.

ii) Proportional Reserve System:-

According to this system, a specific proportion is prescribed for the issuance of notes. Gold, silver or foreign exchange will be kept as reserve against the quantity of notes. For example, this proportion is 40% in America and Germany, 35% in France and 30% in Pakistan.

means if the central bank of Pakistan wants to issue a hundred rupee note, it will have to keep Gold, Silver or foreign exchange of Rs.30 as reserve. In this system, the supply of money is flexible. The more quantity of Gold, Silver and foreign exchange in a country, the more power the central bank has to issue notes. But there is a risk of inflation in this system. Usually, the central bank issue notes according to these two rules. But Deviating from this rule, if the central bank issues money without keeping reserve, it is called deficit financing; this deficit financing causes inflation on one hand and destabilizes the value of money on the other.

2) Bank of the State:-

The central bank is called the bank of the state. All governments' transactions are done through this bank. This bank functions as the financial advisor of the state. It advises the government on financial matters. The government loans are received through this bank and government's payments are also made through central bank. In international trade, this bank provides foreign exchange. Export and import policy is also formed by its advice. If the quantity of foreign exchange is sufficient, easy import policy is adopted. Otherwise the commercial policy is tightened. In short, the supervision of all financial matters, assessment receipts and payments of the government are its responsibilities.

3) The bank of the banks:-

The central bank is called the bank of all commercial and cooperative banks. It controls the banking system of a country. All the banks in the country are under it. It supervises them completely. All the banks function according to the monetary policy of the central bank. This bank prescribes the timings of other banks. The policy of advancing loans and discount in other banks is also in accordance with its policy. Every commercial bank can open its branch in the country with its advice. It is also the supervisor of their investment. Commercial banks get loan when they are facing difficulties. As the commercial banks are registered with the central bank, the people deposit their money in these banks without any hesitation. Because they know that the central bank has complete control over these banks.

4) The custodian of metallic money and foreign exchange:-

The central bank is also the custodian of Metallic Money and foreign exchange in th country. The businessmen deposit all the foreign exchange they earn; and the central bank pa them in local currency. The foreign exchange sent by the people working abroad is also paid b the central bank in local currency. The gold and silver is also in its custody.

5) Lender of the last Resort:-

The central bank is the last resort of the commercial banks. If the commercial banks are facing any financial difficulty, they seek the help of the central bank and overcome their difficulty with its help. For example, if the commercial banks advance more loan or discount the bills more, and they have shortage of money to pay the creditors, they get loan from the central bank or get their bills re-discounted by the central bank and thus overcome their problem. If the central bank does not come to their rescue in need, it will be difficult for them to do business in the country and they lose people's trust.

6) Clearing house:-

The central bank also functions as the clearing house. The inter bank transactions are also made by central bank. All the representatives of commercial banks get togather in the office of central bank to clear the transactions.

the other hand if the profit in the business is declining, the decrease in interest rate will not increase the quantity of loan, because the people will avoid investment and it will be difficult to control deflation.

ii) Open Market Operation:

The second strategy of the monetary policy of the central bank is open market operation through which the central bank buys and sells bonds and securities. For example if there is inflation in the country, and the central bank wants to decrease the circulation of money, the bank sells the securities and bonds in the open market. In this way the circulation of money decreases to some extent. Because the people buy bonds and securities and money goes to the bank. Contrary to it, if there is deflation, the central bank buys bonds and securities so the money reaches to the people and the circulation of money increases. In this way, through open market operation the quantity of money may be changed.

Conditions for Success:

The following conditions are essential for the success of open market operation. It is necessary that when the central bank buys government securities, the cash reserves in the commercial bank must decrease.

When the cash reserves increase, the banks must give more loans and when the cash reserves decrease, the quantity of loan should also decrease. But this condition may not be necessarily fulfilled because the demand for loan depends on industrial, economic and business conditions. If economic conditions are uncertain, the decrease in interest rate cannot increase the quantity of loans. If economic conditions are profitable, the quantity of loans cannot be decreased in this situation.

If there is increase or decrease in the cash reserve of the commercial banks which are lying with the central bank, the loans increase or decrease. It means the banks issue more loans if the cash reserves increase and they issue less loans if the cash reserves decrease.

The fourth condition is that there must not be any change in the velocity of circulation of credit money issued by the banks. Because the increase in the velocity of circulation of credit money cancels the effects of the policy of the decrease in the quantity of credit money. In this way decrease in the velocity of circulation of credit money will fail the policy of increase in the quantity of credit money.

There must be a broad and active market for the buying and selling of the short term and long term government securities.

Although, the above mentioned conditions affect the buying and selling of securities in the open market, this is worth mentioning that when the central bank sells or buys the securities, the power of the commercial banks to issue the loans increases or decreases. But in order to achieve this objective it is necessary that the money market of the country must be organized so that the securities may be bought and sold properly.

iii) Changes in Reserve Ratio:

As the central bank controls the scheduled commercial banks. The commercial banks can seek the help from the central bank when ever they want. In time of need, the central bank gives loans to the commercial banks and re-discounts their bills of exchange and saves them in the crises. **Because of these services, the central bank keeps a specific rate of cash reserve out of their total deposits. For example if the rate is 5 % and if a bank has a deposit of worth 100 million rupees, the bank deposits 5 million rupees with the central bank and utilizes the remaining** amount itself. It is called the reserve ratio. If the central bank wants to control the inflation it increases this rate. For example if the central bank increases it to 6 %, now the bank has to deposit 6 million rupees instead of 5 million rupees. In this way, 1 million rupees more will be out of circulation.

Contrary to it, if there is deflation in the country, the central bank decreases this rate so that the banks may have more amount to grant loans. In this way the circulation of money increases and the intensity of deflation decreases to some extent.

Although this method is more effective than the other two methods, yet this method has also some limitations such as:-

If the commercial banks have a lot of deposits, they will be left with enough money to dilute the effect of the policy of the central bank by circulating money in spite of the increase in reserve ratio.

The commercial banks have comparatively easy access to cash deposits in the central bank. So, even if the central bank increases the rate, it makes no effect on the commercial banks.

The government usually prescribes low interest rates for the public debts, and the commercial banks are not willing to give loans on low interest rates. So the banks have excess money in the form of cash.

v) Credit Rationing:-

The central bank adopts this method to control inflation. If a bank does not abide by the policy of the central bank; sometimes, the central bank stops the credit of this bank. Owing to which the bank can not get loan more than the prescribed quantity, or its bills of exchange can not be re-discounted beyond the prescribed limit. In this situation, the banks are careful, because they fear that if they grant more loans or discount the bill of exchange, the central bank will not help them, and they will be in trouble. Thus the problem can be solved to a great extent.

The above mentioned methods to control the credit money are concerned with decreasing or increasing the quantity of money, so they are called Quantitative Measures. But it is necessary to explain that no above mentioned method can control inflation or deflation completely. In addition to them, there are other methods, which are discussed in the following lines:

2) Qualitative Measures:-

Qualitative measures do not directly affect the quantity of money, but indirectly they play an important role in the solution of the problem. they are stated as under:

Moral Persuasions: Some times the central bank morally persuades the commercial banks to adopt its policy and help to solve the problems in the country. We call this moral pressure, or moral persuasion.

Direct Action: If a commercial bank does not cooperate with the central bank and does not adopt its policy, the central bank threatens the commercial bank with direct action. The central bank refuses to give it loan or re-discount its bills of exchange. Moreover, central bank threatens it that it will strike off the name of bank from its list. So with the help of threats, the central bank forces the banks to help control the money according to its policy.

Publicity: Sometimes, the central bank controls inflation by publicity or advertisement. For example, the central bank of Pakistan has taken out millions of rupees from circulation through prize bonds. The people have bought prize bonds in the hope of winning prize and millions of rupees have been taken out of circulation and this money is kept with the central bank. The central bank persuades the people to save money through advertisements so that the people may

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